

Multiple Choice

1. **Answer:** D

Options: A) what one sees when looking at bank literature; B) the nominal interest rate divided by the inflation rate; C) the nominal interest rate plus the anticipated inflation rate; D) the nominal interest rate minus anticipated inflation

Note: Correct option: D - the nominal interest rate minus anticipated inflation

2. **Answer:** C

Options: A) are a thing of the past.; B) are very severe depressions.; C) are marked by a sustained decline in output.; D) are regular occurrences in capitalist economies.

Note: Correct option: C - are marked by a sustained decline in output.

3. **Answer:** D

Options: A) U.S. GDP falls and Brazil's GDP falls.; B) U.S. GDP rises and Brazil's GDP falls.; C) U.S. GDP falls and Brazil's GDP remains constant.; D) U.S. GDP falls and Brazil's GDP rises.

Note: Correct option: D - U.S. GDP falls and Brazil's GDP rises.

4. **Answer:** D

Options: A) the FED should actively conduct monetary policy.; B) changes in the money supply do not have significant effects.; C) fiscal policy is the preferred way of shifting the aggregate demand curve.; D) the FED should allow the money supply to grow at a constant rate.

Note: Correct option: D - the FED should allow the money supply to grow at a constant rate.

5. **Answer:** D

Options: A) Imports fall.; B) Income is transferred from steel consumers to domestic steel producers.; C) Income is transferred from foreign steel producers to domestic steel producers.; D) Allocative efficiency is improved.

Note: Correct option: D - Allocative efficiency is improved.

True / False

6. **Answer:** True

Options: A) True; B) False

Note: LLM-generated true statement based on MCQ.

7. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'Higher government funding of research on clean energy supplies'.

8. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The most liquid measure of money is M 1.'

9. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'The euro has appreciated.'

10. **Answer:** False

Options: A) True; B) False

Note: LLM-generated false statement. Correct answer: 'minimum point on average variable cost.'

Long Form Response

11. **Answer:** Subsidize the firm or its customers.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** Output would decrease, price would increase.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.

Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key